

		approval of an \$280,000 PAGA settlement. Subject to plaintiff's submission of the documents identified below, the court grants the motion as follows: No enhancement award to plaintiff; \$84,000.00 for attorneys' fees (see No. 1 below); \$21,340.52 for attorneys' costs (\$567.65 was deducted; see No. 2 below); \$5,000.00 for settlement administration fees; and \$169,659.48 total PAGA penalties (\$127,244.61 to LWDA). 1. The court has reviewed paragraph 9 of the Supplemental Rose Declaration (ROA 91) and does not find the circumstances described therein unique. See ROA 82 (No. 7). The court finds attorneys' fees of 30% of the gross settlement amount (\$84,000) reasonable for this case. 2. Plaintiff's counsel previously sought costs of \$21,555.10. See ROA 82 (No. 9). In the supplemental filing, plaintiff has removed mailing charges and the "Wizzy Marketing Cost." Plaintiff has also added several new cost items, increased the charge for one cost item without explanation, and included two "future cost" charges. The court will not award these additional costs, which total \$567.65. Plaintiff is ordered to submit <u>by May 28, 2026</u> a proposed order and judgment (including the above amounts) <u>with all exhibits attached</u> (settlement agreement; amendment thereto; and notice letter (including the above amounts)). The amendment to the settlement agreement must be signed by the parties. In addition, only <u>one</u> copy of the notice letter should be attached to the proposed order and judgment. Duplicate and/or superseded copies of the notice letter should not be attached to the proposed order and judgment as exhibits. The final accounting hearing is scheduled for <u>February 25, 2027 at 9:00 a.m.</u> in Department CX105. Plaintiff shall submit a final administrator's report at least 9 court days before the hearing addressing the status of the settlement administration, including the actual amounts paid to the aggrieved employees and the other amounts distributed under the settlement, including any uncashed checks. Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
8	Sanchez Rangel v. Priority Workforce, Inc., et al. 2025-01524038	<u>Defendant Priority Workforce, Inc.'s Motion to Compel Arbitration</u> <u>Defendant Maruchan, Inc.'s Joinder</u> Defendant Priority Workforce, Inc. (Priority) moves for an order compelling plaintiff Alberto Sanchez Rangel to arbitrate his individual claims and dismissing his class allegations. Defendant Maruchan, Inc. joins Priority's motion. (Priority and Maruchan are

together, “Defendants.”) For the following reasons, Priority’s motion to compel arbitration is granted, and Maruchan’s joinder is granted.

The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. *Little v. Pullman* (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. *Id.*

Existence of an arbitration agreement

A court resolves a dispute regarding the existence of an arbitration agreement using a three-step burden-shifting process. *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1056. “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. (Cal. Rules of Court, rule 3.1330; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219, 105 Cal.Rptr.2d 597.) A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature.’ (*Espejo, supra*, 246 Cal.App.4th at p. 1060, 201 Cal.Rptr.3d 318.) At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule [3.1330].’ (*Condee, supra*, at pp. 218–219, 105 Cal.Rptr.2d 597.) [¶] If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence—in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. (*Espejo, supra*, 246 Cal.App.4th at p. 1060, 201 Cal.Rptr.3d 318.)” *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (emphasis in original).

When an opposing party disputes that he or she signed an arbitration agreement electronically, the petitioner has the burden of proving by a preponderance of the evidence that the electronic signature is authentic. *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846; see also *Fabian v. Renovate America, Inc.* (2019) 42 Cal.App.5th 1062, 1067; *Espejo, supra*, 246 Cal.App.4th at 1060 (“[W]e conclude that defendants here met their initial burden by attaching to their petition a copy of the purported arbitration agreement bearing Espejo’s electronic signature. Once Espejo challenged the validity of that signature in his opposition, defendants were then required to establish by a preponderance of the evidence that the signature was authentic.”).

The burden of authenticating an electronic signature is not great. *Fabian*, 42 Cal.App.5th at 1067.

Priority submitted with its moving papers the Declaration of Crystal Alvarez, who states she is Priority's Employee Development Manager. ROA 45. Alvarez states that Priority maintains personnel files that contain employment documents for each employee; Alvarez states that the documents are completed electronically and are kept in an electronic database organized by employee identification number. Alvarez Decl. (ROA 45) ¶¶ 1, 5. Alvarez states that the employment documents include an arbitration agreement, and she states that a copy of an arbitration agreement bearing plaintiff's electronic signature is attached to her declaration as Exhibit A. *Id.* ¶¶ 6-7. Alvarez states that plaintiff created his own credentials (a username and password) to access the onboarding documents, including the arbitration agreement. *Id.* ¶ 8. Alvarez states that only plaintiff knew his unique username and password, and only plaintiff could change his username and password. *Id.* Alvarez states that once plaintiff logged in using his username and password, he electronically signed the onboarding documents, including the arbitration agreement. *Id.* Alvarez states plaintiff electronically signed the arbitration agreement on October 11, 2023. *Id.* ¶ 7.

Exhibit A to the Alvarez Declaration is a Spanish-language document entitled "Acuerdo de Arbitraje del Solicitante" bearing the typewritten name in the signature block "Alberto Alberto sanchez rangel" [*sic*]. *Id.* Ex. A. The following words are printed in the bottom left corner of the first page of the document:

Digitally signed by priorityworkforce

Date: 2023.10.11 18:04:22 +00:00

Signers:

Alberto Alberto sanchez rangel 2023.10.11 18:04:20
(UTC)

Location: pd0mdwk00000J

Id. Ex. A. (No party ascribes significance to the page numbers of the document.) Priority submitted a certified translation of Exhibit A with its moving papers. Sylvia Decl. (ROA 45) ¶ 2 & Ex. B.

In opposition, plaintiff submitted declarations from himself and from Jesus Eduardo Dejar Macias. ROA 55, 59, 63, 65. (On May 20, 2026 plaintiff filed a "Notice of Errata" (ROA 71) stating that plaintiff "inadvertently misspelled" Jesus Eduardo Dejar Macias's name, and that his name is Jesus Eduardo Bejar Macias. Plaintiff's alleged error does not affect the outcome of the motion, although the court notes that both plaintiff and Macias signed declarations identifying Macias as "Jesus Eduardo Dejar Macias." ROA 63, 65.) Plaintiff states he neither signed an arbitration agreement nor authorized anyone else to sign on his behalf. Sanchez Rangel Decl. (ROA 55) ¶ 3. He states he had never seen the agreement attached to the Alvarez Declaration before this lawsuit; he never created his own login credentials, username or password for the onboarding process; and he never logged into any onboarding

system to sign an arbitration agreement. *Id.* ¶¶ 4, 14, 15. Plaintiff also states that a Priority employee named Jesus Eduardo Dejar Macias accompanied him to Priority’s offices to apply for employment on or about October 11, 2023; that he completed the onboarding paperwork using Macias’s electronic device; that Macias “walked [him] through the process, showed [him] the documents on his device and told [him] how to input [his] personal information as needed.” *Id.* ¶¶ 8, 9, 10. Plaintiff states Macias told him where to put his signature. *Id.* ¶ 10. Plaintiff states he never saw the arbitration agreement while reviewing the onboarding documents. *Id.* ¶ 11.

Macias states that he accompanied plaintiff to Priority’s offices to apply for employment on or about October 11, 2023. Macias Decl. (ROA 59) ¶ 2. Macias states that “[o]n that date” he helped plaintiff complete the onboarding process using Macias’s device; that he “walked [plaintiff] through the process, showed him the documents and instructed him how to input his personal information as needed”; and that for each document that needed an electronic signature, Macias “asked [plaintiff], himself[,] to sign it.” *Id.* ¶ 3. Macias states that he had never seen the arbitration agreement attached as Exhibit A to the Alvarez Declaration before May 2026, and that he did not show that document to plaintiff as part of the onboarding documents. *Id.* ¶¶ 5-6. Macias states that he did not see plaintiff sign the arbitration agreement. *Id.* ¶ 8.

As plaintiff disputes he signed the arbitration agreement electronically, Priority has the burden of proving by a preponderance of the evidence that the electronic signature is authentic. *Ruiz*, 232 Cal.App.4th at 846. On reply, Priority submitted a supplemental declaration from Alvarez. ROA 67. In her supplemental declaration, Alvarez states her job duties as Employee Development Manager include overseeing the maintenance and safekeeping of personnel files of current and former Priority employees, and that she is also familiar as part of her job duties with Priority’s electronic onboarding system for new hires. Supp. Alvarez Decl. (ROA 67) ¶ 2. Alvarez states that Priority uses HR Center, a “human capital management platform used for recruiting and staffing agencies.” *Id.* ¶ 3. Alvarez states that during the onboarding process, an employee has the option of completing the necessary documents remotely or at Priority’s offices, using Priority’s iPads. *Id.* Alvarez states that at the offices, there are QR Codes that direct the employee to a weblink with a registration form; and that there are two versions of the QR Codes, one that directs the employee to the English registration form and another that directs the employees to the Spanish registration form. *Id.* Alvarez states that if an employee is not at Priority’s offices, the employee can reach the weblink with the registration form by navigating to Priority’s website and clicking the “apply now” button. *Id.* Alvarez states that the employee may change the language of the registration form. *Id.*

Alvarez states that on the registration form, the employee must fill out his full name, phone number, social security number, zip code and other personally identifying information, and that the employee

also creates his own unique username and password that the employee may use to access his account. *Id.* ¶ 4. Alvarez states that each employee's account can only be accessed using his own unique username and password the employee created. *Id.* Alvarez states that an employee cannot access any of the employee's onboarding documents necessary to begin work without creating a unique username and password that is linked to the employee's registration form. *Id.*

Alvarez states that once an employee completes the registration form and logs in with the employee's linked username and password, the employee may review, complete, acknowledge and sign various employee forms and policies, including Form W-4, Form SSA-89, the Employee's Predesignation of Personal Physician, policy acknowledgement, and the arbitration agreement. *Id.* ¶ 5. Alvarez states that on the first document that appears, the employee can type in his name as the signature, and that once that is completed, the employee can click to sign after reviewing each of the onboarding documents. *Id.*

Alvarez states that the arbitration agreement is available in Spanish for the employee to review. *Id.* ¶ 6. Alvarez states that once the employee reviews the arbitration agreement, the employee may save his signature on the arbitration agreement by clicking his assent. *Id.* Alvarez states that the employee can then continue reviewing and completing the remaining onboarding documents. *Id.*

Alvarez states that an employee cannot submit the employee's onboarding documents package until the employee clicks to sign and complete all of the onboarding documents. *Id.* ¶ 7. Alvarez states that the onboarding documents cannot be submitted without clicking to confirm assent to the arbitration agreement and all of the other onboarding documents. *Id.*

Alvarez states that once an employee electronically saves his signature on the arbitration agreement and the other onboarding documents, and submits his entire onboarding file, Priority human resources employees such as Alvarez can access the entire file through the Beyond platform. *Id.* ¶ 8. Alvarez states that Priority employees can access the files through the Beyond platform by searching the employee's name, social security number or other contact information, which is the information the employee initially submitted to Priority on the registration form, as that information is tied to the unique username and password the employee used to fill out the onboarding documents. *Id.*

Alvarez states that plaintiff was required to follow the process described in her supplemental declaration to complete his onboarding documents electronically, including electronically signing the arbitration agreement. *Id.* ¶ 9. Alvarez states that plaintiff electronically signed the Spanish version of the arbitration agreement on October 11, 2023, as part of his onboarding process, and that the stamp in the bottom left corner of arbitration agreement states plaintiff's name and the date he clicked to sign

the arbitration agreement. *Id.* ¶¶ 9, 10. Alvarez states that plaintiff's arbitration agreement is stored on the Beyond platform. *Id.* ¶ 9. Alvarez states that Exhibit 1 to her supplemental declaration is the audit trail of the click to sign of the arbitration agreement and plaintiff's other onboarding documents. *Id.* ¶ 11 & Ex. 1. Alvarez states that the audit trail lists plaintiff's social security number and other personal information, which links the arbitration agreement to the registration form on which plaintiff provided his personal information. *Id.* ¶ 11. Alvarez states that the audit trail also shows plaintiff's unique username (albertorangel), and that only plaintiff knew his password, unless plaintiff chose to share his password with someone else. *Id.*

Alvarez states that for someone other than plaintiff to have completed the registration form and onboarding documents, including clicking to sign the arbitration agreement, that person would have had to have known plaintiff's full name, date of birth, social security number, and contact information to gain access. *Id.* ¶ 12. Alvarez further states that plaintiff "could not have been hired without filling out and assenting to all Onboarding Documents." *Id.* ¶ 13.

Alvarez also states that Priority's records do not show a current or former employee named Jesus Eduardo Dejar Macias. *Id.* ¶ 14. Alvarez states that she searched all variations and combinations of that name that she could think of, and did not identify any current or former Priority employee matching that name. *Id.*

Alvarez's supplemental declaration and its exhibit are sufficient to carry Priority's burden of authenticating plaintiff's electronic signature by a preponderance of the evidence. Accordingly, as plaintiff's only challenge to the existence of the arbitration agreement is his contention that he did not electronically sign the agreement, Priority carried its burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence.

The Federal Arbitration Act applies

Defendants argue the Federal Arbitration Act (FAA) applies. The arbitration agreement states: "Both the Company and I agree that any claim, dispute, or controversy that I may have against the Company (or its owners, directors, officers, managers, employees, agents, and parties affiliated with its employee health and benefit plans) or that the Company may have against me, arising out of, related to, or having any relationship or connection to my search for employment, employment, or other association with the Company, shall be submitted to and determined exclusively by binding arbitration under the Federal Arbitration Act (9 U.S.C. §§ 1, et seq.) pursuant to the procedures of the California Arbitration Act. (Cal. Code Cvi. [sic] Proc. sec. 1280 et. seq., including section 1283.05 and all other mandatory and permissive rights of discovery under the Act.)" Sylvia Decl. (ROA 45) Ex. B.

"The [Federal Arbitration Act] applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2), but since arbitration is a matter of contract, the FAA also applies if it is so stated in the

agreement.” *Barrera v. Apple American Group LLC* (2023) 95 Cal.App.5th 63, 76; *see also Tuufuli v. West Coast Dental Administrative Services, LLC* (2026) 117 Cal.App.5th 1048, 340 Cal.Rprt.3d 858, 862 (same); *Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963 (same); *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355 (“the presence of interstate commerce is not the only manner under which the FAA may apply. . . . [T]he parties may also voluntarily elect to have the FAA govern enforcement of the Agreement”).

Plaintiff does not dispute the FAA applies. The court finds the FAA applies.

Unconscionability

Plaintiff argues the arbitration agreement is unconscionable. In *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, the California Supreme Court recognized that notwithstanding the strong public policy favoring arbitration, “generally applicable contract defenses, such as . . . unconscionability, may be applied to invalidate arbitration agreements without contravening” the FAA’ or California law.” *Id.* at 125; *see AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.

“Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] ‘The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.’ [Citation.] If the contract is adhesive, the court must then determine whether ‘other factors are present which, under established legal rules—legislative or judicial—operate to render it [unenforceable].’” *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.

To declare an agreement unenforceable, a court must find both procedural and substantive unconscionability. Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power; substantive unconscionability looks at overly harsh or one-sided results. *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; *see also OTO*, 8 Cal.5th at 129-30. Substantive unconscionability examines the fairness of a contract's terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. *OTO*, 8 Cal.5th at 129-30. The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh terms or ones that undermine the nondrafting party's reasonable expectations. *Id.* at 130.

“[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” *Armendariz*, 24 Cal.4th at 114. Plaintiff bears the burden to demonstrate the arbitration agreement is procedurally and

substantively unconscionable. *Sanchez v. Carmax Auto Superstores California, LLC* (2014) 224 Cal.App.4th 398, 402.

The arbitration agreement is a contract of adhesion. The arbitration agreement is a preprinted form agreement provided by Priority to all employment applicants. Supp. Alvarez Decl. (ROA 67) ¶ 5. The agreement does not state it is voluntary, and Alvarez states an employee cannot submit the onboarding documents without “clicking to confirm assent to the arbitration agreement” and the other onboarding documents, and that plaintiff “could not have been hired without filling out and assenting to all Onboarding Documents.” *Id.* ¶¶ 7, 13. The adhesive nature of the agreement is evidence of some degree of procedural unconscionability. *Sanchez*, 224 Cal.App.4th at 403.

Plaintiff argues the agreement is also procedurally unconscionable because (i) plaintiff never created his own login credentials, username or password and never logged into any onboarding system to sign an arbitration agreement, and (ii) nobody explained the arbitration agreement to him. The Supplemental Alvarez Declaration and its attachment, discussed above, refute the former argument. As to the latter argument, the arbitration agreement states that an employee may ask a company representative any questions about the agreement before signing the agreement: **“IF YOU HAVE ANY QUESTIONS REGARDNG THIS AGREEMENT, PLEASE ASK A COMPANY REPRESENTATIVE BEFORE SIGNING.”** Sylvia Decl. Ex. B (bold and capitalization in original). Plaintiff’s claim that the phrase “read the previous agreement” above the signature line is unclear and purportedly refers to an agreement other than the arbitration agreement has no merit. Read in context, that phrase plainly refers to the arbitration agreement above the signature line.

Plaintiff argues the arbitration agreement is substantively unconscionable pursuant to *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. In *Cook*, the court held that “[a]n arbitration agreement of infinite duration [that] requires an employee to arbitrate all claims against the employer, its agents, affiliates, and employees irrespective of whether they arise from the employment relationship” is unconscionable. *Id.* at 316.

The arbitration agreement in *Cook* required arbitration of “all claims, whether or not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise; and all claims that the University may have against Employee.” *Id.* at 321. As the *Cook* court stated, “[t]he plain language of the agreement requires Cook to arbitrate claims that are unrelated to her employment with USC.” *Id.* The *Cook* agreement also “survived indefinitely” following Cook's termination of employment. *Id.* at 325; see *id.* (“The agreement expressly states that it ‘shall survive the termination of Employee's employment, and may only be revoked or modified in a written

document that expressly refers to the “Agreement to Arbitrate Claims” and is signed by the President of the University”). In addition, the *Cook* agreement lacked mutuality because it required Cook to arbitrate any and all claims she might have against her employer “or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise,” but it did not require the employer’s “related entities” to arbitrate their claims against Cook. *Id.* at 326.

Based on these provisions, the court affirmed the trial court’s order finding the arbitration agreement unconscionable. The court also affirmed the trial court’s finding that unconscionability permeated the arbitration agreement as a whole and its refusal to sever the unconscionable provisions.

The arbitration agreement here contains a provision similar to one found unconscionable in *Cook*. As in *Cook*, the agreement lacks mutuality. The agreement requires plaintiff to arbitrate “any claim, dispute, or controversy” that plaintiff may have against “the Company (or its owners, directors, officers, managers, employees, agents, and parties affiliated with its employee health and benefit plans)” arising out of, related to, or having any relationship or connection to plaintiff’s search for employment, employment, or other association with the Company, but the agreement does not require the Company’s owners, directors, officers, managers, employees, agents, and parties affiliated with its employee health and benefit plans to arbitrate any claims, disputes or controversies that they may have against plaintiff arising out of, related to, or having any relationship or connection to plaintiff’s search for employment, employment, or other association with the Company. (No party ascribes significance to the statement in the agreement that the parties “will utilize binding arbitration to resolve all disputes that may arise outside of the employment context.” Sylvia Decl. Ex. B (¶ 1).)

Defendants do not attempt to justify this one-sidedness. See *Armendariz*, 24 Cal.4th at 117–18 (“As has been recognized “unconscionability turns not only on a ‘one-sided’ result, but also on an absence of ‘justification’ for it.””). Defendants instead argue that, pursuant to *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241, 247, the agreement is mutual.

Ayala-Ventura v. Superior Court (2026) 119 Cal.App.5th 241, does not assist Priority in light of the language of the agreement here. The *Ayala-Ventura* court found that the agreement before it was not substantively unconscionable under *Cook* for lack of mutuality because (i) the definition of “Company” expressly included the company’s related entities and bound those entities to arbitration, and (ii) the agreement expressly limited arbitration to claims against the company’s employees or agents “in their capacity as employees or agents.” *Id.* at 258. Regarding the latter point, the *Ayala-Ventura* court explained that any claims Ayala-Ventura “may have against employees or agents unrelated to their role are therefore not subject to the Agreement,” and that the agreement’s

purported failure to require the company's employees and agents to arbitrate their claims against Ayala-Ventura did not result in a lack of mutuality between the contracting parties, i.e., Ayala-Ventura and the company. *Id.* at 258-59.

In contrast to the agreement in *Ayala-Ventura*, the definition of "Company" here is limited to Priority. (Plaintiff appears to concede that the undefined term "Company" in the agreement refers to defendant Priority. Opp. (ROA 53) at 14:19-20.) In addition, the list of people and entities against whom plaintiff is obligated to arbitrate his employment-related claims without any corresponding requirement that they do the same is longer and more attenuated than the "employees or agents in their capacity as employees or agents" in *Ayala-Ventura*, including not just Priority's owners, directors, officers, managers and employees, but also Priority's agents and parties affiliated with Priority's employee health and benefit plans.

The court acknowledges a lack of clarity in the oft-evolving case law addressing the mutuality of claims subject to arbitration in the employment context. That said, the court finds the provision here closer to that found nonmutual, and thus substantively unconscionable, in *Cook* than the provision found mutual in *Ayala-Ventura*. As discussed below, however, the court will sever the provision and enforce the balance of the arbitration agreement.

Plaintiff also argues the arbitration agreement is also substantively unconscionable because it purportedly "contains internal tension and ambiguity regarding PAGA." Opp. (ROA 53) at 15:13. The arbitration agreement states that it does not apply to "claims brought under the Private Attorneys General Act of the Labor Code of 2004 (Cal. Labor Code §§ 2698, et seq.). Sylvia Decl. Ex. B (¶ 1.A.). The agreement therefore does not apply to plaintiff's individual and nonindividual PAGA claims. The agreement also states: "I understand that there is no right or authority for any dispute *covered by this Agreement* to be heard or arbitrated on a class action basis, on a collective action basis, on a private attorney general basis, or on bases involving claims or disputes brought in a representative capacity on behalf of the general public, on behalf of other employees of the Company (or any of them), or on behalf of other persons allegedly similarly situated." Sylvia Decl. Ex. B (¶ 1.D.) (italics added). Plaintiff appears to contend that this provision in paragraph 1.D. creates ambiguity regarding the PAGA exclusion in paragraph 1.A. The provision in paragraph 1.D., however, is expressly limited to disputes "covered by this Agreement." As stated in paragraph 1.A., PAGA claims are not covered by the agreement.

Severance

The arbitration agreement contains a severance clause. The "Indemnification" section states: "If any term, provision, or part of this Agreement is held invalid or unenforceable, it will be severed, and the remainder of this Agreement will be enforceable." Sylvia

Decl. Ex. B (¶ 4). (No party ascribes significance to the "Indemnification" heading.)

"If a contractual clause is found unconscionable, the court may, in its discretion, choose to do one of the following: (1) refuse to enforce the contract; (2) sever any unconscionable clause; or (3) limit the application of any clause to avoid unconscionable results. [Citation.] The 'strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement.' [Citation.] Though the 'statute appears to give a trial court some discretion as to whether to sever or restrict the unconscionable provision or whether to refuse to enforce the entire agreement,' it 'also appears to contemplate the latter course only when an agreement is "permeated" by unconscionability.'" *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 513.

As discussed above, one aspect of the agreement is substantively unconscionable, i.e., the phrase obligating plaintiff to arbitrate his covered claims against Priority's owners, directors, officers, managers, employees, agents, and parties affiliated with Priority's employee health and benefit plans, without any corresponding obligation that those people and entities arbitrate any covered claims against plaintiff. The court does not find the agreement permeated with unconscionability and thus exercises its discretion to sever the following phrase from the agreement and to enforce the balance of the agreement: "or its owners, directors, officers, managers, employees, agents, and parties affiliated with its employee health and benefit plans."

The class allegations are dismissed without prejudice

Plaintiff does not dispute that the arbitration agreement contains a class action waiver. Sylvia Decl. (ROA 45) Ex. B (¶ 1.D.) ("I understand and agree that all claims covered by this Agreement that I may have against the Company must be brought in my individual capacity and not as a plaintiff or class member in any purported class action, collective action, or representative action proceeding. Similarly, any claims covered by this Agreement that the Company may have against me cannot be brought as a plaintiff or class member in any purported class action, collective action, or representative action proceeding").

As discussed above, the FAA applies. The class action waiver is therefore enforceable. *See, e.g., Viking River Cruises v. Moriana* (2022), 596 U.S. 639, 651 ("a party may not be compelled under the FAA to submit to class arbitration unless there is a contractual basis for concluding that the party *agreed* to do so") (italics in original); *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 352 (holding class action waivers are enforceable under FAA and California rule to contrary preempted); *Evenskaas v. California Transit, Inc.* (2022) 81 Cal.App.5th 285, 297-98. The class allegations are dismissed without prejudice.

Maruchan's joinder is granted

		As noted above, Maruchan joins Priority’s motion. Priority argues in its opening brief that Maruchan, a nonsignatory, may enforce the arbitration agreement because (i) the agreement allegedly applies to “parties affiliated” with Priority and (ii) pursuant to the equitable estoppel doctrine. Priority Brief (ROA 45) at 15:10-16:4. Maruchan’s joinder states that it joins Priority’s arguments. ROA 49. Plaintiff filed an opposition to Maruchan’s joinder (ROA 61), but did not address Priority’s arguments regarding Maruchan’s ability to enforce the arbitration agreement in its opposition to Priority’s motion. Contrary to Priority’s claim, the arbitration agreement does not state that it applies to “parties affiliated” with Priority. The agreement states that it applies to “parties affiliated with [Priority’s] employee health and benefit plans.” Sylvia Decl. Ex. B (¶ 1.A.). Maruchan may, however, enforce the arbitration agreement as a nonsignatory pursuant to the equitable estoppel doctrine. As noted, plaintiff did not address in his opposition Priority’s argument that <i>Garcia v. Pexco, LLC</i> (2017) 11 Cal.App.5th 782, 787-88, applies here. <i>See also Gonzalez v. Nowhere Beverly Hills LLC</i> (2024) 107 Cal.App.5th 111, 123-29. Plaintiff alleges Priority, a staffing company, employed him and that he worked at Maruchan’s Irvine location. First Amended Complaint (ROA 14) ¶ 3. Plaintiff alleges “all Defendants carried out a joint scheme, business plan or policy,” alleges all factual allegations against “Defendants” collectively, and alleges all 21 causes of action against “all Defendants.” First Amended Complaint (ROA 14). Plaintiff provides no argument that under these circumstances <i>Garcia</i> and <i>Gonzalez</i> do not apply here such that plaintiff need not arbitrate his covered claims against Maruchan. The superior court action, including plaintiff’s individual and nonindividual PAGA claims, is stayed pending completion of the arbitration of plaintiff’s individual claims. The June 11, 2026 status conference is vacated. An ADR Review hearing is scheduled for <u>December 10, 2026 at 9:00 a.m.</u> in Department CX105. The parties are ordered to file a joint ADR Review hearing statement at least five court days before the hearing. Defendants to give notice.
9	Schimmelpfennig v. Philip Tupy, et al. 2024-01408612	<u>Plaintiff Paul Schimmelpfennig’s Motion for Leave to File First Amended Complaint to Substitute Successor in Interest</u> Liesa Schimmelpfennig (Leisa) moves for leave to file a first amended complaint to substitute Leisa as successor in interest for plaintiff and decedent Paul Schimmelpfennig (Paul). Although Leisa styles her motion as a motion for leave to amend, Leisa cites Civil Procedure Code sections 377.30 through 377.34 as support for the motion. The court thus construes the motion as a motion for an order substituting Leisa as successor in interest for Paul. No opposition has been filed. For the following reasons, Leisa’s motion is granted.